



Identity norms and the decision to work

Allegra Saggese¹

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¹UC Santa Cruz

Project approach

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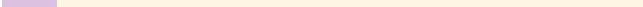
1. Motivation

Norms and female labor force participation

- The gap between female and male labor force participation has been closing since the 1950s in the US
- Overall labor force participation has been slowly declining in recent years (62% in 2024), thought to be driven primarily by low participation by men as females' have been steady since mid-2010s
- Gains for women came with increasing legal and regulatory protection, but US is undergoing some *cultural boomerang* (magnitude unknown)

DO PERSISTENT GENDER NORMS MATERIALIZE IN WOMENS' US LABOR MARKET DECISIONS TODAY?

2. Data



- ACS survey on county-level population and labor participation from 5-year census survey (smoothed), 2010-2024
- MIT Elections data (presidential years only), 2012-2020
- FRED FED: labor force participation rates, 2008-2024
- IPUMS dataset(not currently linked); *although head of householder, working hours and other variables may be useful to augment descriptive data*

Data points for the visualizations

- County-level **labor force participation rate** is calculated for each US state, using the following variables:
 - ▶ Female, male, and total labor force participation rates (ages 25-64)
 - ▶ Gender gap (male-female) in labor force participation rate
- **Political leaning** is proxied by previous presidential election, using data from 2012-2020 is used to create:
 - ▶ Share republican, democrat (%) of total votes
 - ▶ Vote margin (%) red to blue
 - ▶ Vote spread (normalized $\in [0, 1]$) red to blue
- **Log(household median income)** variable is created from county-level income estimates, where counties are ranked by:
 - ▶ state-level and national quintile ranking (1-5)

3. Stylized facts

The gap between female and male labor force has been closing across all households in all counties

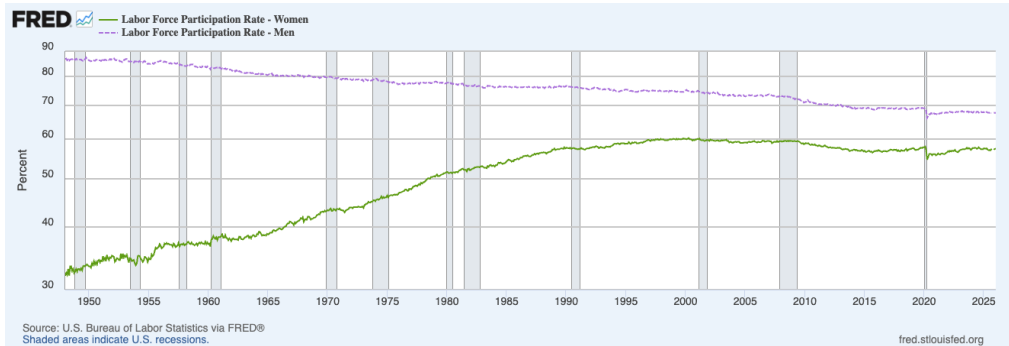


Figure 1: LFPR by gender over time (Federal Reserve, 2024)

Female labor force participation is, on average, higher in democrat-leaning counties in the highest quintile (top 20% of median household income)

Democrat v Republic leaning counties

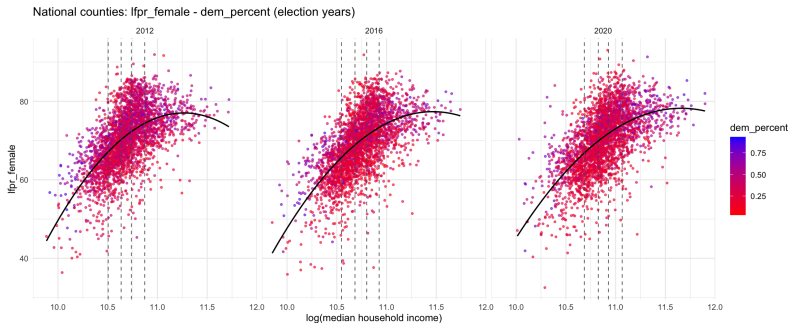


Figure 2: FLFPR vs. $\log(\text{household income})$ by county, with respect to share of Democratic candidate votes in election years. *Note: The dashed vertical lines represent quintile thresholds.*

Democrat v Republic leaning counties

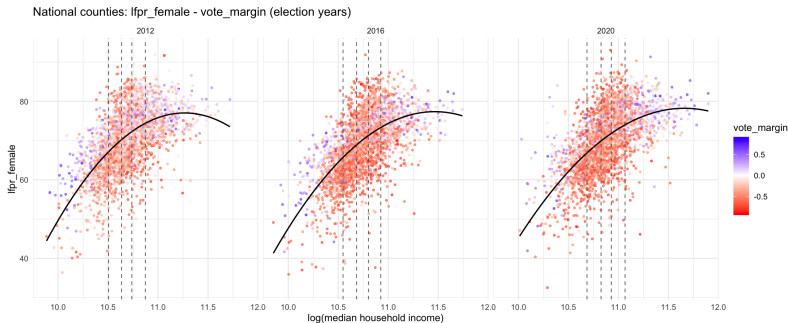


Figure 3: FLFPR vs. $\log(\text{household income})$ by county, with county vote share margins (blue $\rightarrow$ towards democrats)

Democrat v Republic leaning counties

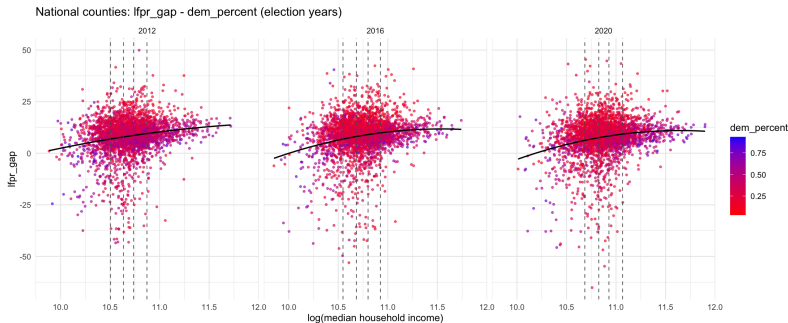


Figure 4: Difference between male and female labor force (county level) vs. log(household income), colored by share of Democratic candidate votes in election years.

Democrat v Republic leaning counties

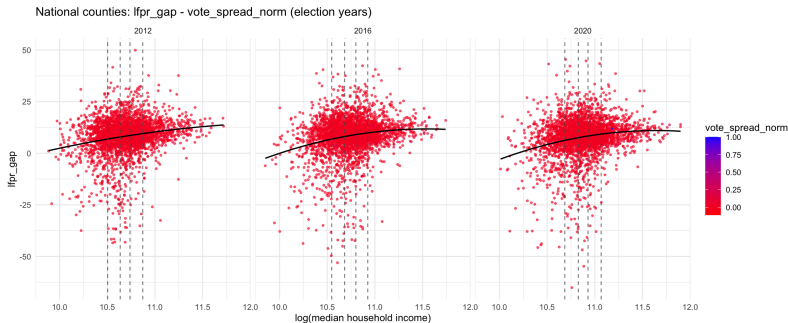


Figure 5: Difference between male and female labor force (county level) vs. log(household income), colored by county vote spread (normalized)

Democrat v Republic leaning counties

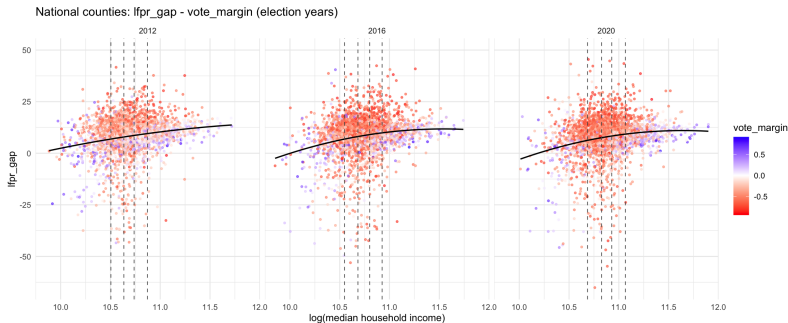
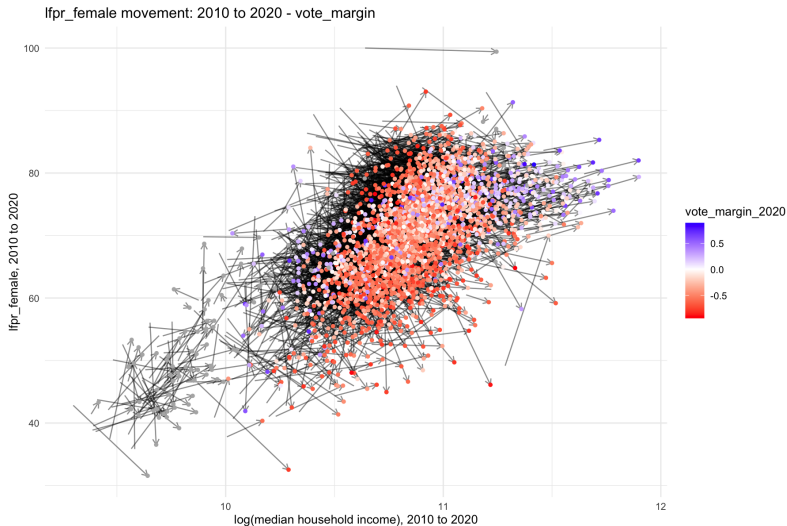
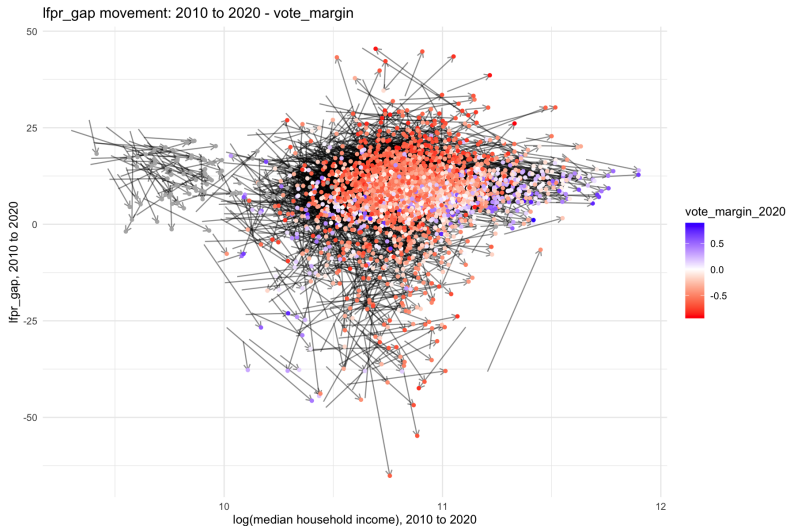


Figure 6: Difference between male and female labor force (county level) vs. log(household income), colored by vote margin

Democrat v Republic leaning counties

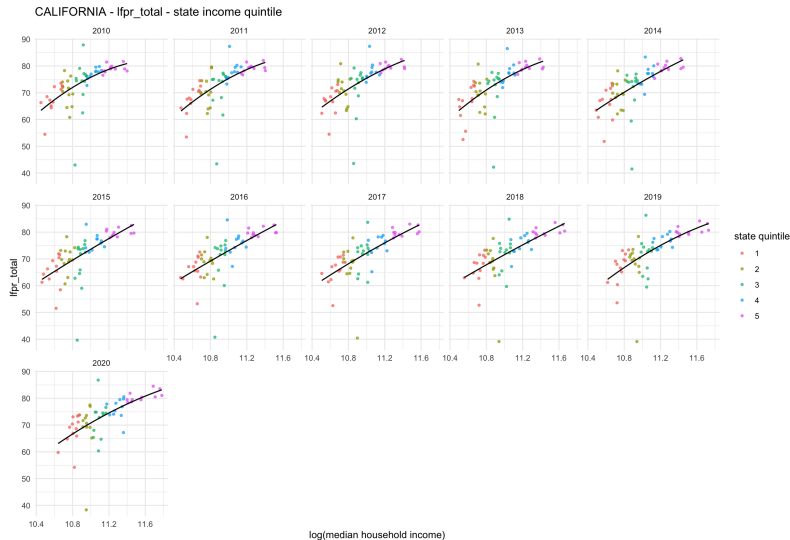


Democrat v Republic leaning counties

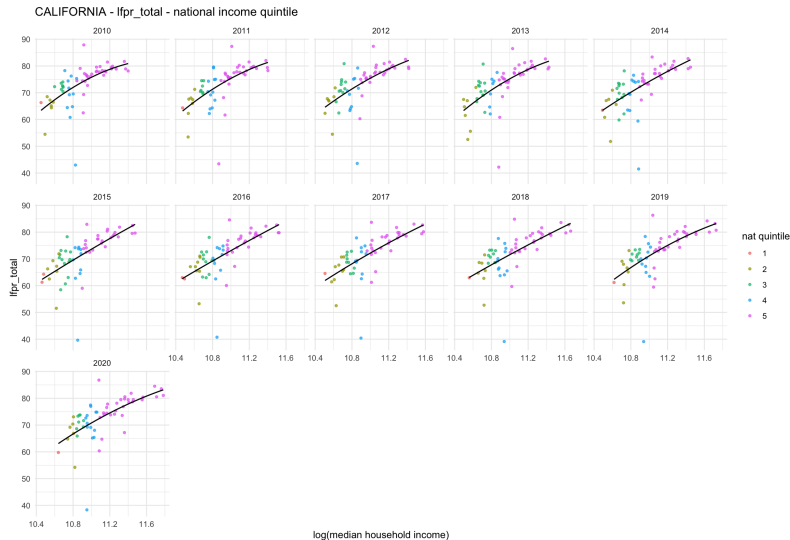


Significant variation in female labor force participation and the gap between male and female participation exists across states. We see differences between states and within states (time trends).

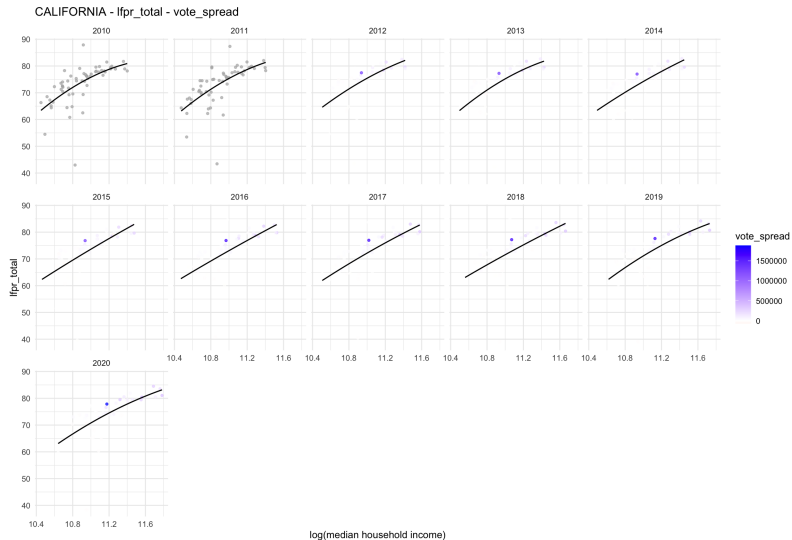
California: total labor force participation



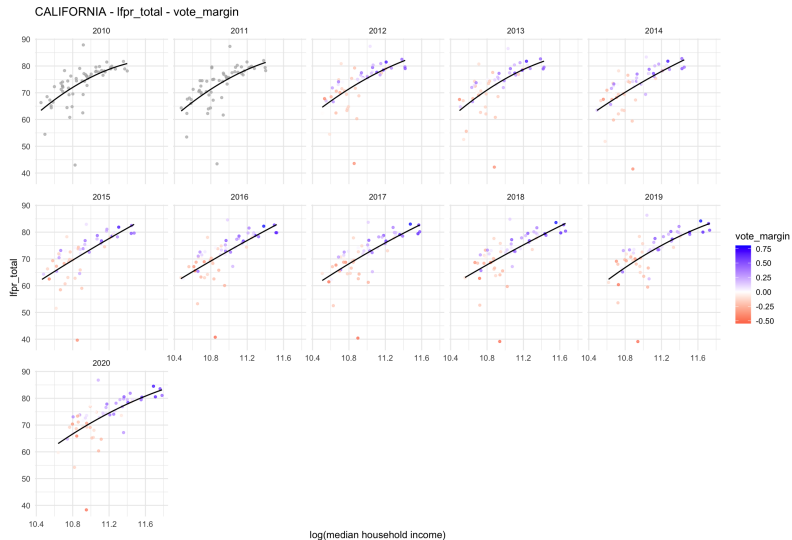
California: total labor force participation



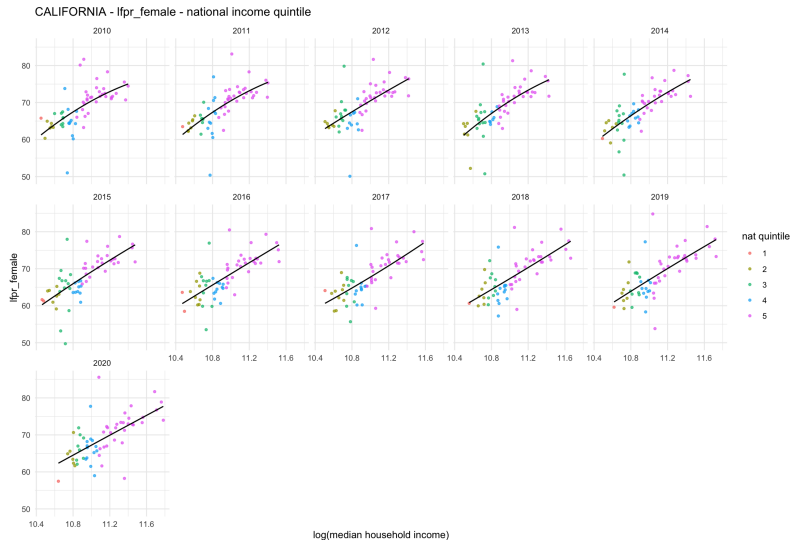
California: total labor force participation



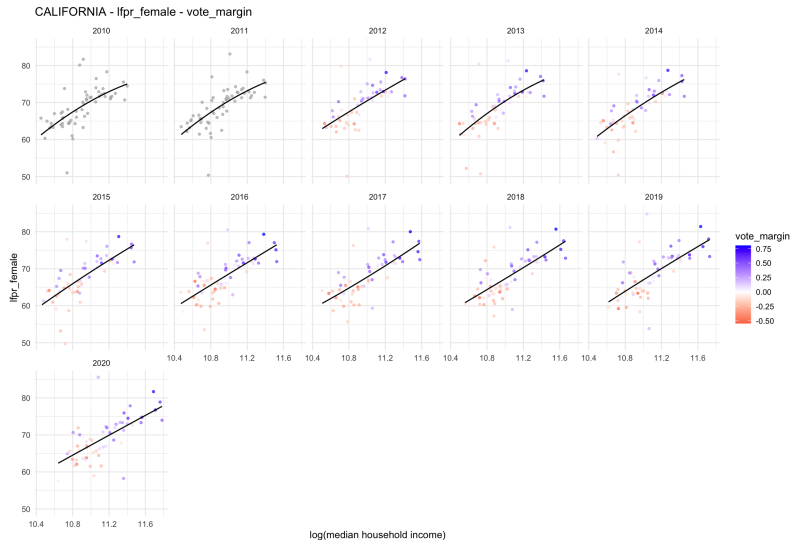
California: total labor force participation



California: female labor force participation



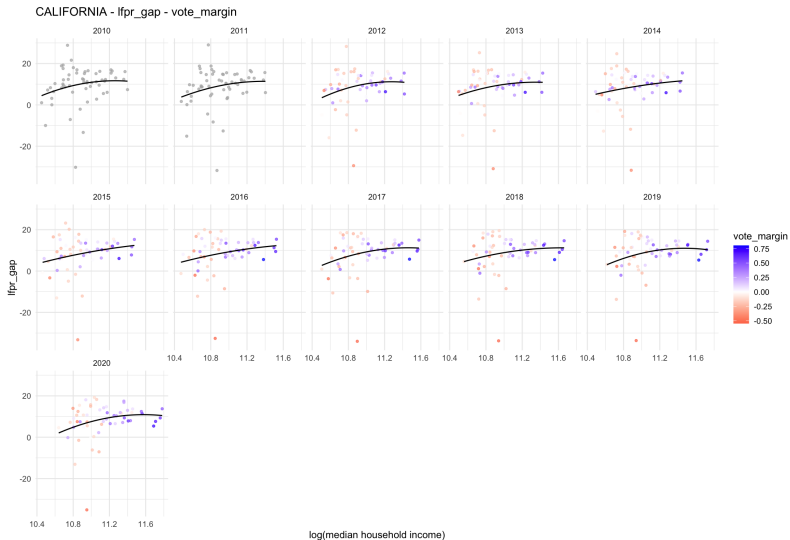
California: female labor force participation



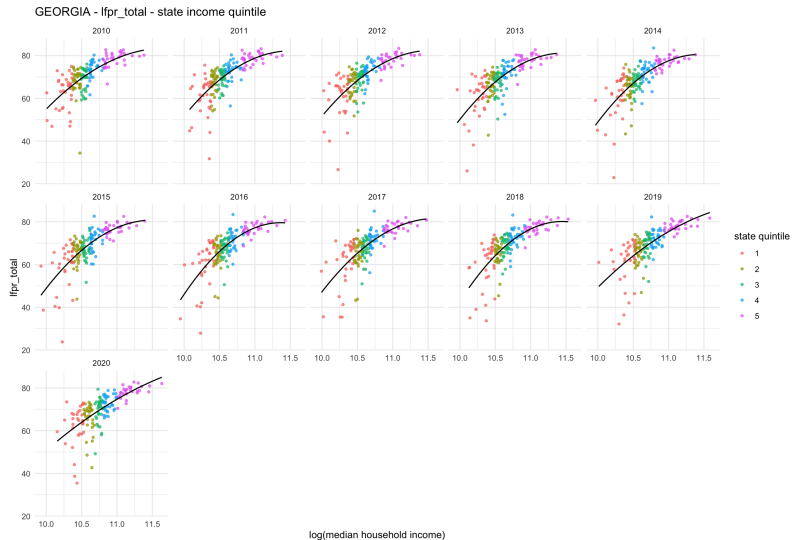
California: gap in labor force participation



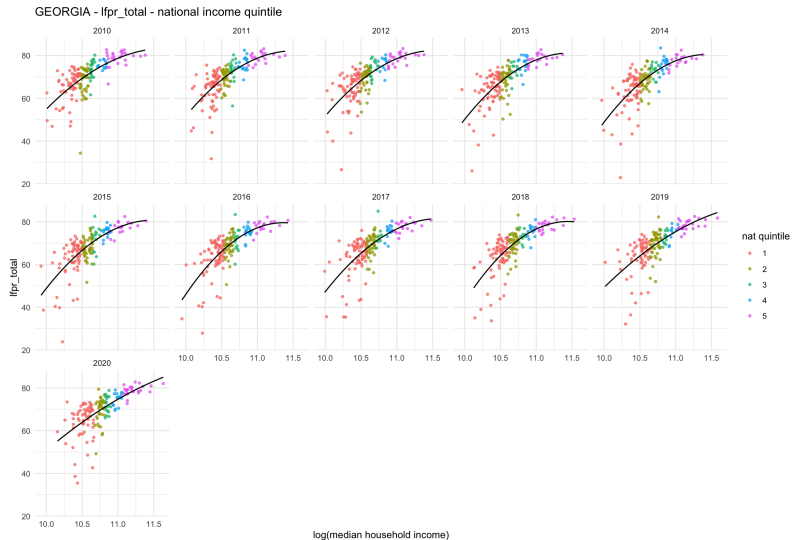
California: gap labor force participation



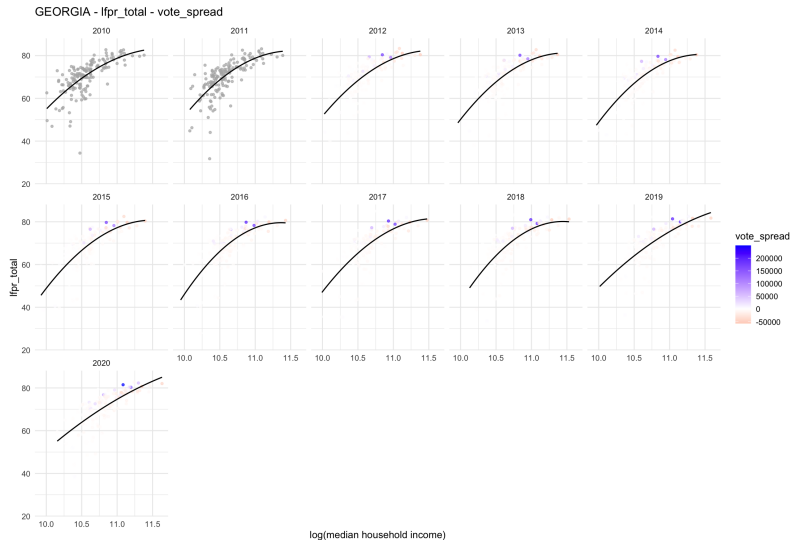
Georgia: total labor force participation



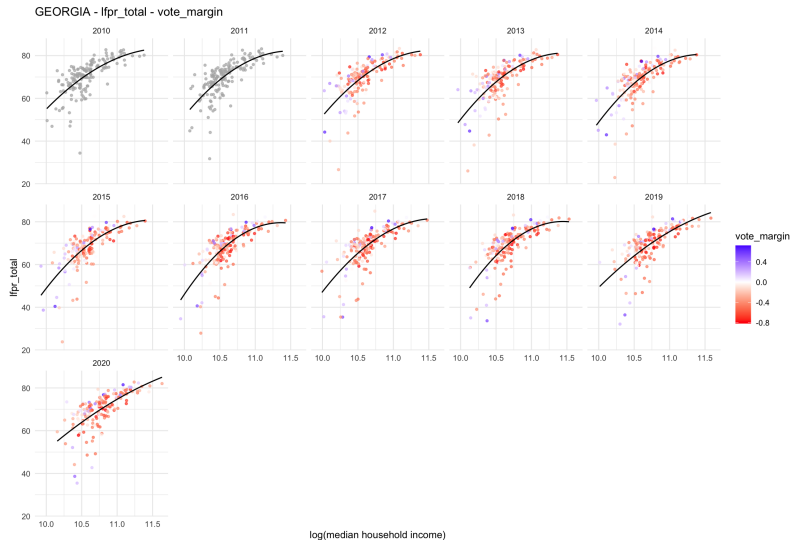
Georgia: total labor force participation



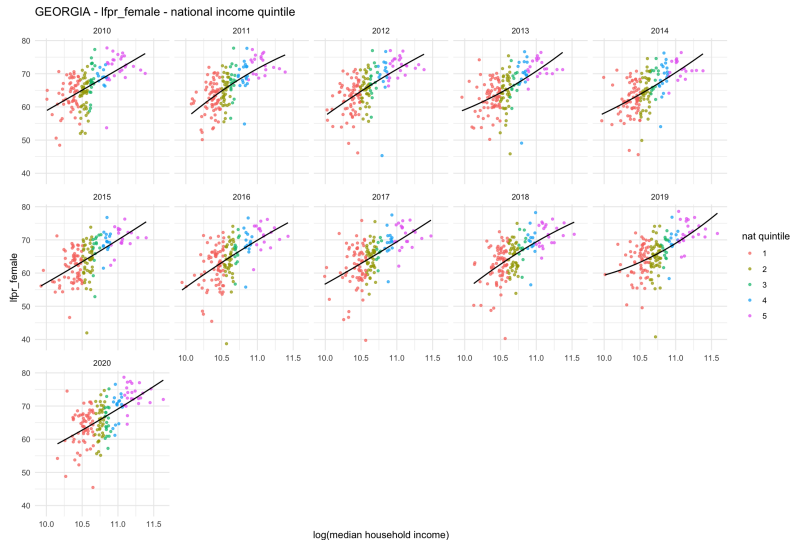
Georgia: total labor force participation



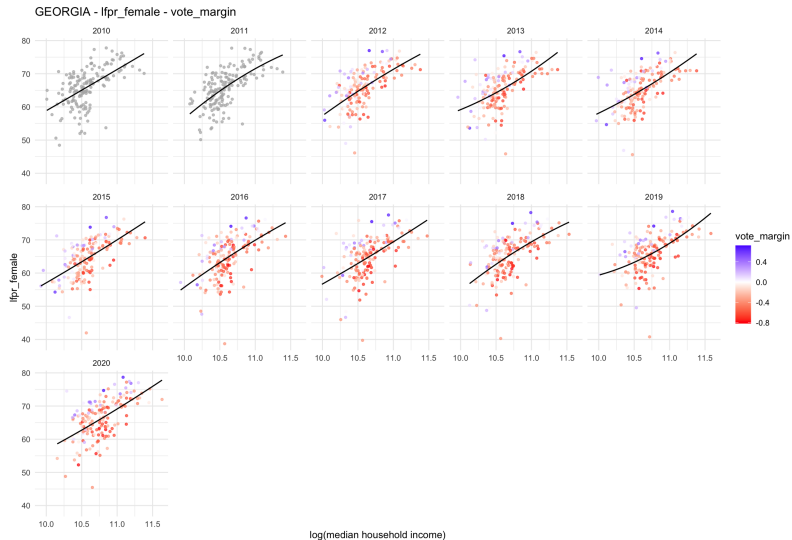
Georgia: total labor force participation



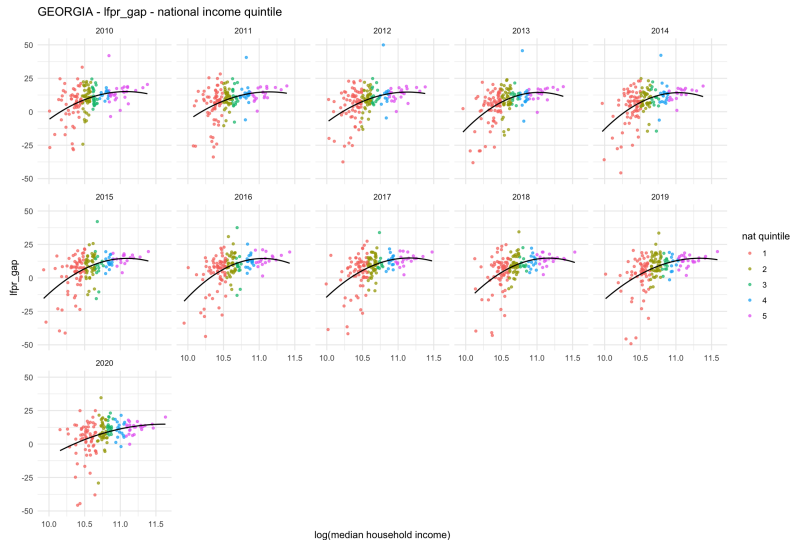
Georgia: female labor force participation



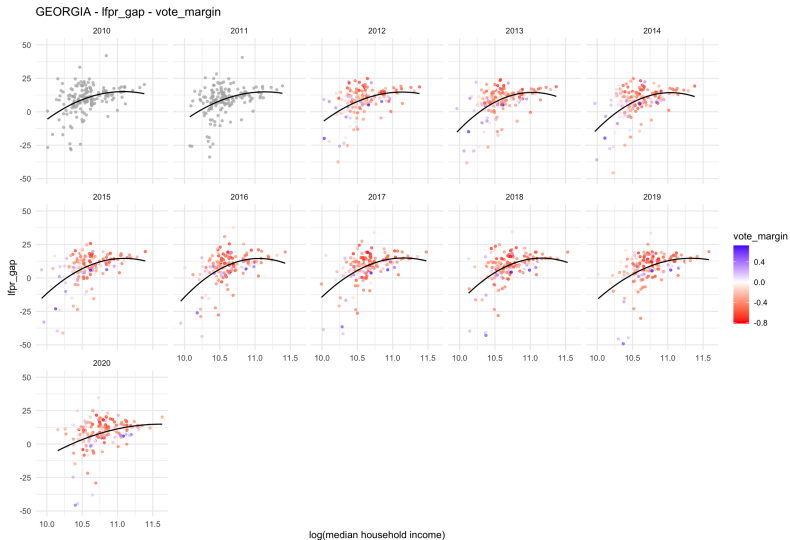
Georgia: female labor force participation



Georgia: gap in labor force participation

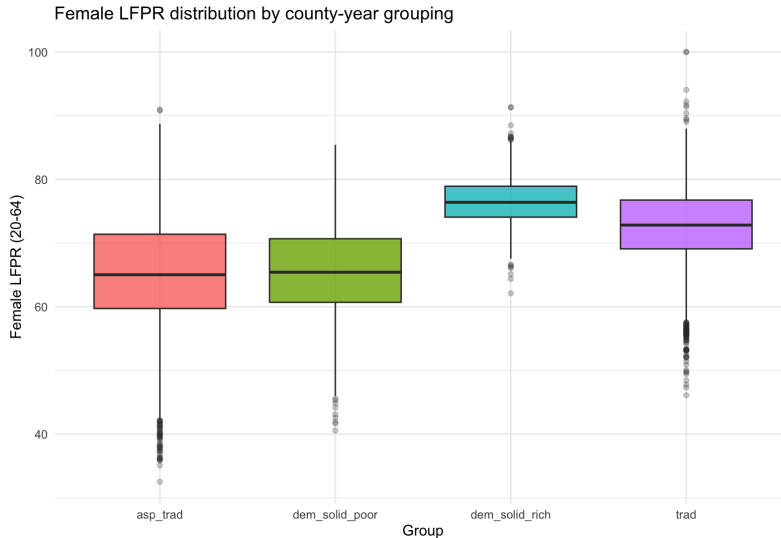


Georgia: gap labor force participation



There appear to be some minor differences between *traditional* and *progressive* counties, as proxied by magnitude of presidential vote margins and relative household income

Simple averaged distribution of female labor force participation

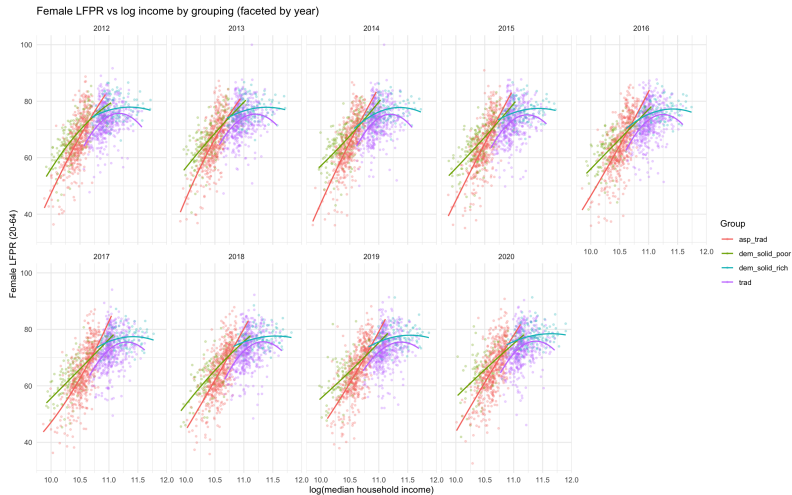


What are the groups?

Using nationally ranked quintile distribution to divide each county into 1st and 5th quintiles (bottom 20% and top 20% of median income distribution). Use presidential election vote margins to proxy for average county-level gender ideology. Progressive counties have $> +2$ vote margin toward the democrats, traditional counties have $> +2$ vote margin toward republican candidate.

- **Aspirational-trad:** lowest quintile and traditional, republican vote lean.
- **Democrat (solid) poor:** lowest quintile and progressive. democratic vote lean.
- **Democrat (solid) rich:** highest quintile and progressive, democratic vote lean.
- **Trad:** highest quintile, traditional and republican vote lean.

FLFPR vs log income for groups

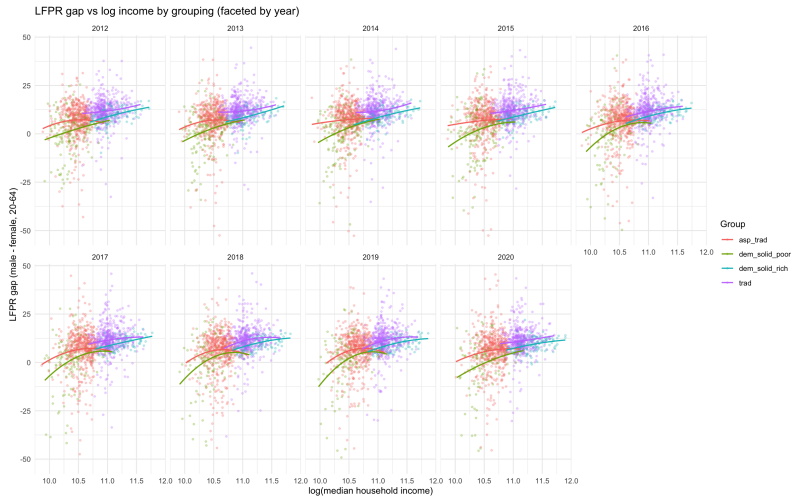


FLFPR vs log income for groups (average)

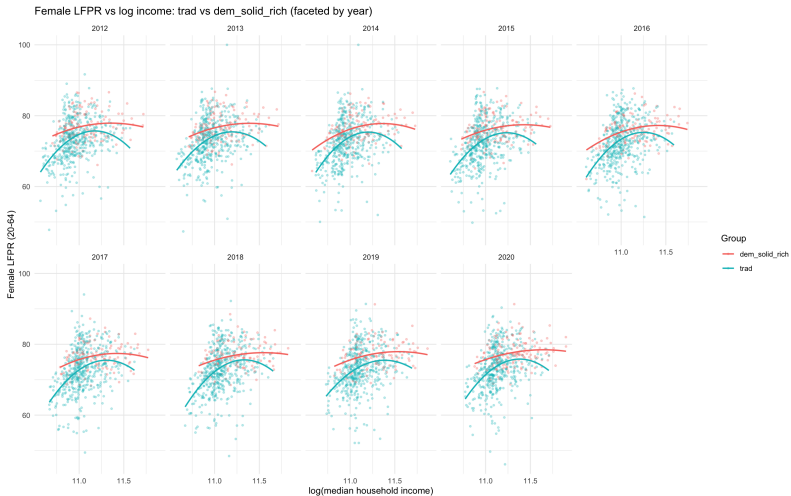


Figure 25: Female LFPR (county level) vs. log(household income), clustered by group (10 year average)

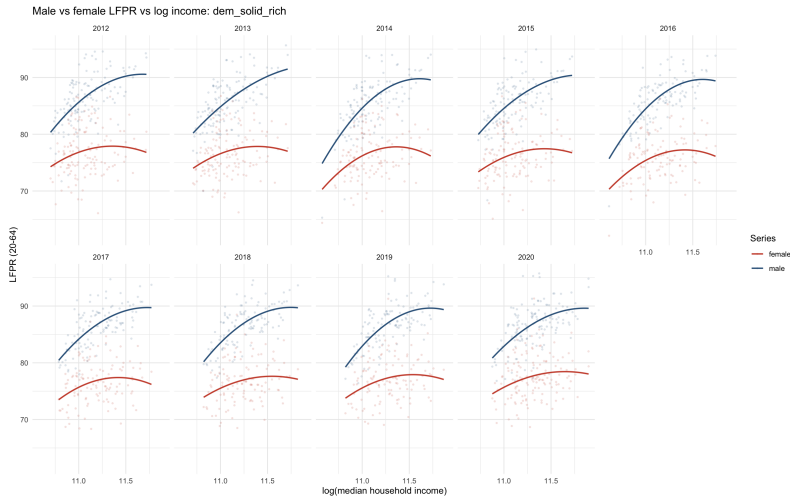
LFPR gap vs log income for groups



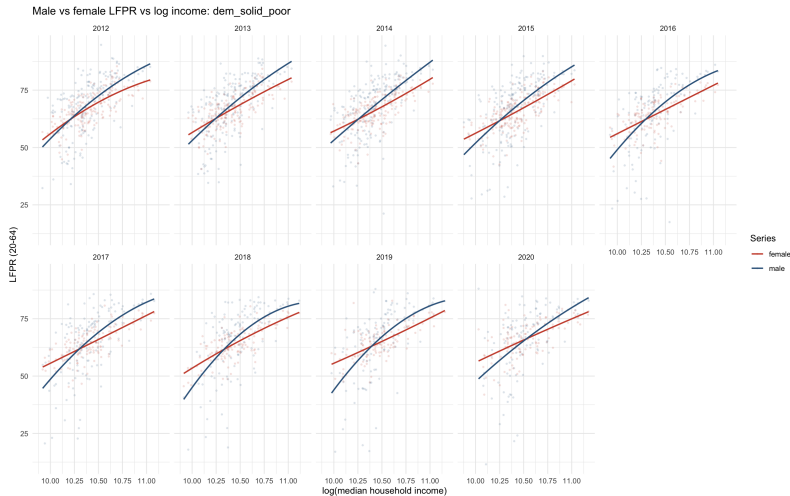
FLFPR vs log income (high earners only)



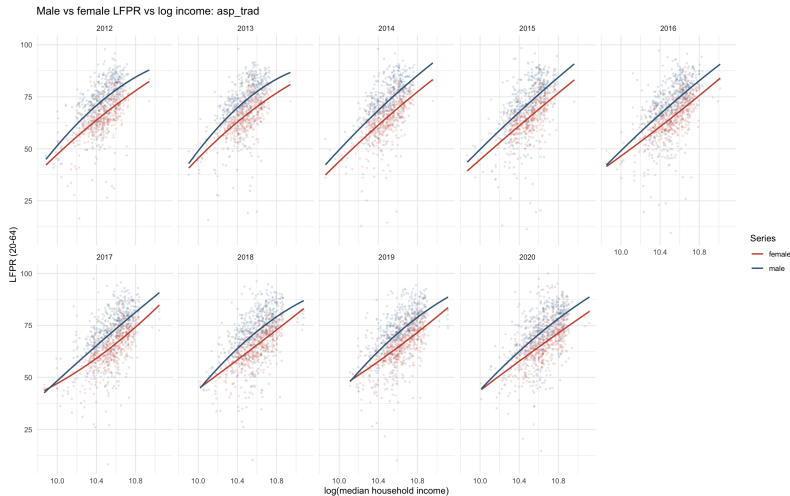
Gender disaggregated LFPR vs log income (dem solid rich)



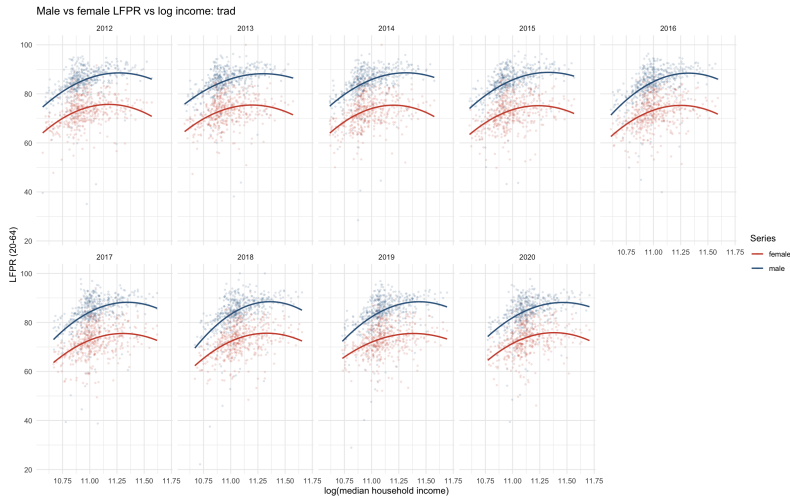
Gender disaggregated LFPR vs log income (dem solid poor)



Gender disaggregated LFPR vs log income (asp trad)



Gender disaggregated LFPR vs log income (trad)



4. Model



Akerlof & Kranton identity in utility approach

$$U_j(a_j, a_{-j}, I_j) \quad I_j = I_j(a_j, a_{-j}, c_j, \epsilon_j, P)$$

Where

- c_j social categorization (either self-image or the social assignment of the group)
- P prescription, or behavior that is expected based upon the category and environment of an individual
- a_j is an action by individual, j , such that a_{-j} are other people's actions
- I_j is the gains/losses to identity, that depend on, again individuals' and group behavior, and the closeness by which one behaves or holds characteristics of their social category

Bringing norms into search?

- How do norms effect one's choice to search?
- If effort wasn't just a random draw, or a pure rational choice based on costs, could we model it?
- **Our goal:** model heterogeneous effort in labor matching where expected utility from work includes identity-based utility gains (and losses) derived from gender norms.

Bringing norms into search?

- **Limitations:** Pissarides (2000) claims source of heterogeneity in friction or mismatch is irrelevant, Lagos (2000) counters that it does matter for interventions
- **Starting points:** Hornstein & Kudlyak (2016); Hall & Shulhofer-Wohl (2018) model search effort heterogeneity